



## LABSTAT INTERNATIONAL ULC

262 Manitou Drive, Kitchener, Ontario, Canada N2C 1L3  
Phone (519) 748-5409 FAX (519) 748-1654

### Limitations to the use of Labstat's Analytical Reports<sup>1</sup>

Labstat International ULC is a recognized centre of analytical excellence related to tobacco and tobacco products. Our clients include major international tobacco manufacturers, various Governments and Government agencies such as the Canadian Federal Department of Health and the Massachusetts Department of Public Health, agricultural interests, university researchers and private research interests. Normally our contractual obligations extend **only** to the provision of data and related reports.

It should be noted<sup>2</sup>, in this regard, that

***All analytical data and reports, provided by Labstat International ULC, are for the exclusive use of the person, partnership, or corporation to whom it is addressed, and neither the data, the report nor the name of the laboratory (Labstat International ULC) nor any member of its staff may be used in connection with the advertising or sale of any product or process without written authorization from the CEO of the company or his designate. Labstat International ULC is not responsible for unauthorized use of test reports.***

The following also applies to reported data.

**All Labstat reports on testing relate only to the sample received and tested by it at the time of testing. Labstat warrants that all samples submitted were tested in accordance with its standard test procedures. Except as stated herein, there is no warranty expressed or implied, statutory or other wise, as to the results of Labstat tests. Labstat does not warrant or guarantee the fitness of the materials from which the samples have been drawn for any particular purpose including without limitation for consumption as cigarettes, cigars, smokeless tobacco or any other form of tobacco or tobacco-related product.**

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<sup>2</sup> Unless superseded by a specific contractual obligation or other written agreement.



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### Notes to Accompany Price Quotation:

#### 1. Accreditation

Labstat International ULC has been accredited to the ISO 17025 standard by the Standards Council of Canada with a scope that includes all of the Health Canada Mandated Methodologies.



Accredited LAB 358  
(SCC Accreditation & Design Mark is an Official Mark of the Standards Council of Canada, (ministère de la Santé))

#### 2. Methods

Details for all methods to be employed in this project may be found at the following web site unless otherwise indicated:

[http://www.hc-sc.gc.ca/hl-vs/tobac-tabac/legislation/reg/indust/method/index\\_e.html/](http://www.hc-sc.gc.ca/hl-vs/tobac-tabac/legislation/reg/indust/method/index_e.html/)

#### 3. Number of observations

This price quotation is based on the assumption that the number of replicates required is as indicated. Labstat will be pleased to revise this quotation should this assumption not be correct.

#### 4. Time Frame

To be determined.

#### 5. Number of Brands:

This price quotation is based on the assumption of a specific number of brands and observations per analyte as noted in the price quotation. Labstat reserves the right to requote should either the number of brands or replicates per brand change.

#### 6. Payment

Invoices are due when rendered and payable within 30 days of submission.

#### 7. Time Limits

This price quotation is valid until December 31, 2008.



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**To:** R.J. Reynolds Tobacco Corporation  
950 Reynolds Boulevard  
Winston-Salem NC USA 27102-1487

**Quote No.:** T2632

**Project:** Not Assigned

**Attn:** Crystal M. Cheely

**Date:** 7-Aug-08

| Item | Analysis of Mainstream Tobacco Smoke<br>(Massachusetts smoking regime)          | Cost per<br>Obs.       | Obs. per<br>Sample | Number of<br>Sample | Total<br>No. of Obs. | Cost<br>per "Item" |
|------|---------------------------------------------------------------------------------|------------------------|--------------------|---------------------|----------------------|--------------------|
| 1    | Sample handling, login and recording                                            | American \$<br>\$28.06 | 1                  | 25                  | 25                   | \$701.53           |
| 2    | Cigarette preparation (hole blocking as per<br>105 CMR 660.000)                 | \$1.16                 | 4                  | 25                  | 100                  | \$115.50           |
| 3    | Determination of the pH of mainstream tobacco<br>smoke (as per 105 CMR 660.000) | \$96.93                | 3                  | 25                  | 75                   | \$7,269.90         |
|      | <b>Additional Charges</b>                                                       |                        |                    |                     |                      |                    |
| 4    | Machine adjustment to 'average' conditions                                      |                        |                    |                     |                      | \$220.00           |
| 5    | Machine adjustment to standard conditions                                       |                        |                    |                     |                      | \$220.00           |
|      | <b>Total</b>                                                                    |                        |                    |                     |                      | <b>\$8,526.93</b>  |

Note:  
Study includes the analysis of commercial brands and one 2R4F brand.